



MARKET MONITOR

No. 59 – June 2018

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Roundup

As the new season (2018/19) begins, early indications for AMIS crops point to an overall balanced outlook at the global level. Wheat and rice markets are projected to remain adequately supplied while maize is expected to experience somewhat tighter market conditions given the prospect for lower production among several major exporters. The first forecasts for soybeans point to a tightening but still comfortable situation as world production of soybeans climbs to a new high. Weather will be critical in the coming months but other factors, including variations in exchange rates, high oil prices and trade policy uncertainties are also seen to influence food markets in 2018/19.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	▲	▲
Soybeans	N/A	▼
▲ Easing ■ Neutral ▼ Tightening		

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production forecast for 2018 raised but still below 2017 despite increases to forecasts for several major producers, including Argentina and India.

- Utilization to grow by 1.0 percent in 2018/19, supported by rises in feed and food use.

- Trade in 2018/19 (July/June) to exceed the 2017/18 record volume with higher sales from the EU, the Russian Federation and the US more than compensating for declines in exports from Argentina and Ukraine.

- Stocks (ending in 2019) to reach a new record, driven by build-ups in China and India.

WHEAT

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2017/18	2018/19	
est.	f'cast	
	3-May	7-Jun
757.2	746.6	754.1
1,010.8	1,024.0	1,031.5
738.6	743.3	743.5
174.2	174.1	175.0
277.4	279.0	283.4

in million tonnes			
USDA		IGC	
2017/18	2018/19	2017/18	2018/19
est.	f'cast	est.	f'cast
	10-May		24-May
758.4	747.8	758.2	742.3
1,014.3	1,018.3	1,001.8	1,003.9
743.8	753.9	740.3	745.5
182.1	188.4	175.6	176.8
270.5	264.3	261.6	258.4

- **Maize** production for 2018 is forecast to fall by 4.0 percent from last year's record volume.

- Utilization in 2018/19 to rise by 2.0 percent on growing feed and industrial use; significantly higher feed use is projected for China, Latin America and the Russian Federation.

- Trade in 2018/19 (July/June) to increase by 1.1 percent, driven by higher import demand in Asia and continued large export availabilities.

- Stocks (ending in 2019) to plunge by 16 percent on drawdowns in China, Latin America and the US. Global stock estimates revised up sharply since the previous report following historical revisions to China's maize utilization and stocks.

MAIZE

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2017/18	2018/19	
est.	f'cast	
	3-May	7-Jun
1,089.7	1,047.3	1,046.5
1,388.9	1,304.5	1,359.2
1,069.1	1,072.4	1,090.0
145.4	143.6	147.0
311.9	226.9	262.4

in million tonnes			
USDA		IGC	
2017/18	2018/19	2017/18	2018/19
est.	f'cast	est.	f'cast
	10-May		24-May
1,036.7	1,056.1	1,044.4	1,054.9
1,264.2	1,251.0	1,374.8	1,359.2
1,069.3	1,091.8	1,074.4	1,090.0
151.1	158.0	146.6	152.1
194.9	159.2	300.4	257.4

- **Rice** production in 2018 upgraded somewhat, mainly on improved prospects for India and, to a lesser extent, Brazil.

- Utilization in 2018/19 expected to expand by 1.0 percent y/y, mostly due to population growth in Asia and buoyant demand for rice in Africa.

- Trade in calendar 2018 and 2019 seen only slightly below the 2017 all-time high.

- Stocks (ending in 2019) raised, with India accounting for most of this revision.

RICE (milled)

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2017/18	2018/19	
est.	f'cast	
	3-May	7-Jun
504.6	510.6	511.3
673.7	681.9	682.6
504.1	509.1	509.3
47.8	47.2	47.3
171.3	172.9	173.8

in million tonnes			
USDA		IGC	
2017/18	2018/19	2017/18	2018/19
est.	f'cast	est.	f'cast
	10-May		24-May
488.2	489.5	487.8	490.2
625.0	633.3	610.4	612.8
481.2	488.6	487.8	491.4
48.4	49.3	47.1	47.5
143.8	144.7	122.6	121.4

- **Soybean** output could climb to a new record in 2018/19 fuelled mainly by a rebound in Argentina and further gains in Brazil.

- Utilization projected to rise modestly, with demand expected to keep expanding in Asia and recovering in Argentina, while consumption would remain close to record/near-record 2017/18 levels in Brazil, the EU and the US.

- Trade in 2018/19 to expand further on growing import demand in Asia; Argentina, Uruguay and the US expected to export more in 2018/19.

- Stocks (2018/19 carry out) to contract further, returning to levels recorded prior to the mid-2010s highs; y/y drops in Brazil and the US are anticipated to outweigh replenishments in Argentina and India.

SOYBEANS

Production
Supply
Utilization
Trade
Stocks

FAO-AMIS		
2017/18	2018/19	
est.	f'cast	
	7-Jun	
336.9	358.3	
389.2	397.5	
352.5	360.4	
151.1	156.9	
39.2	36.7	

in million tonnes			
USDA		IGC	
2017/18	2018/19	2017/18	2018/19
est.	f'cast	est.	f'cast
	10-May		24-May
336.7	354.5	336.0	356.3
433.1	446.7	383.7	395.6
342.3	357.7	344.5	356.1
151.3	161.8	151.5	156.2
92.2	86.7	39.3	39.7



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2018/19*

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	7533	909	198	912	4404	-829	3408	17616	3406	35525
Total AMIS	7355	1545	-470	566	6121	-3286	2860	13900	3490	35045
Argentina	2900	-	-	400	2832	-	-	-	-	-
Australia	-	-	-	-184	-	-	-	-	-	-
Brazil	215	500	-12	-250	977	-3618	100	-1118	-	-1500
Canada	1300	-	365	-	400	300	-	450	-240	50
China Mainland	-	-	-	-	-	-4800	500	4500	-	46916
Egypt	-	-	-	-	-	-200	-	-200	-	-
EU	-	-	-700	-1700	2000	-	-	-	-	-
India	2610	-500	-890	-	2000	800	-	400	30	-40
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	185	-	-	-	-	-	-	-	-
Kazakhstan	200	-	-	-	-215	-	-	-	-	-
Mexico	-368	500	32	-	100	-	500	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	100	-	50	-	50
Rep. of Korea	1	260	1	-	-	-2	80	-	-	198
Russian Fed.	1000	-	-	3500	-3500	1500	-	-1000	2000	500
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-171	-	-171	-	-	-	-	-1000	-	1000
Thailand	0	200	200	-	-	365	-	365	-	200
Turkey	-500	-	-	-	1300	-500	500	200	-	-400
Ukraine	-900	-	-100	-500	-250	1137	-	1000	1000	-863
US	1068	200	605	-700	477	1632	-50	9223	700	-11266
Viet Nam	-	200	200	-	-	-	1230	1030	-	200

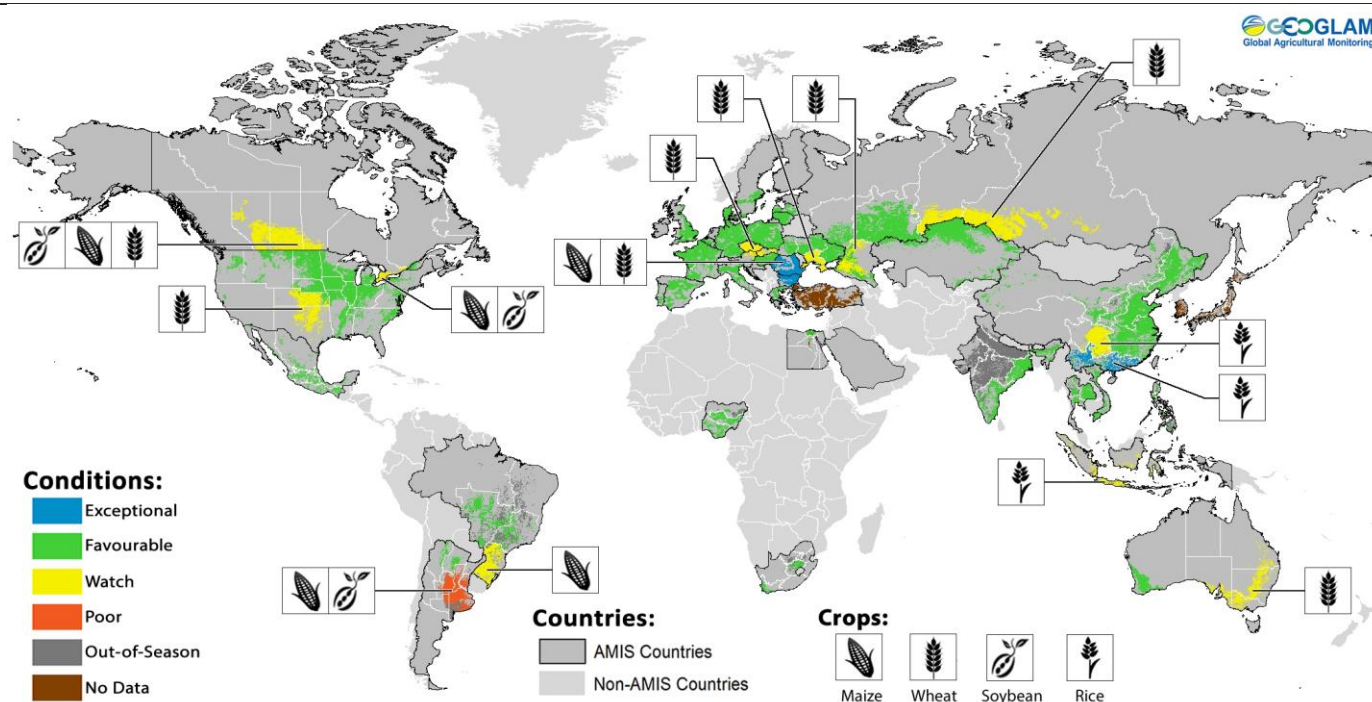
	RICE				
	Production	Imports	Utilization	Exports	Stocks
WORLD	709	129	212	203	825
Total AMIS	641	90	152	195	715
Argentina	14	-	14	-	20
Australia	-	-	-	-	-
Brazil	101	-	41	45	10
Canada	-	-	-	-	-
China Mainland	-	40	15	-	-
Egypt	-	-	-	-	-
EU	-	-	-	-	-
India	524	-	94	150	600
Indonesia	-	-	-	-	-
Japan	-	-	-	-	-
Kazakhstan	-	-	-	-	-
Mexico	-1	-	-1	-	-
Nigeria	-	-	-	-	-
Philippines	13	-	13	-	-
Rep. of Korea	-	-	-	-	-
Russian Fed.	-	-	-	-	-
Saudi Arabia	-	-	-	-	-
South Africa	-	-	-	-	-
Thailand	-	-	-	-	-
Turkey	-	-	-	-	-
Ukraine	-	-	-	-	-
US	-9	50	-23	-	85
Viet Nam	-	-	-	-	-



* For soybeans, month-on-month revisions will be provided starting from the July issue as the present issue shows the first forecasts for the 2018/19 season.

Crop monitor

Crop conditions in AMIS countries (as of 28 May)



Crop condition map synthesizing information for all four AMIS crops as of 28 May. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

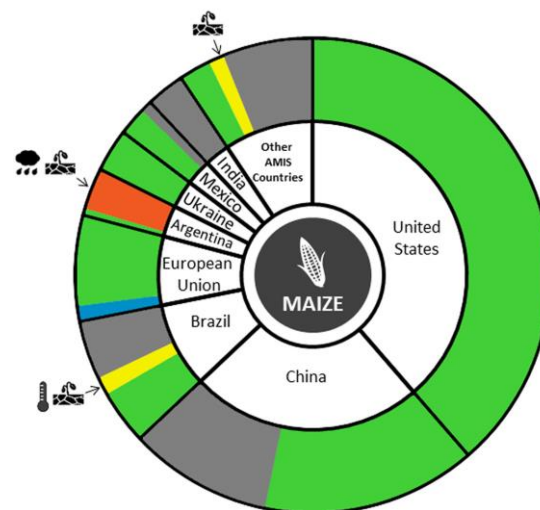
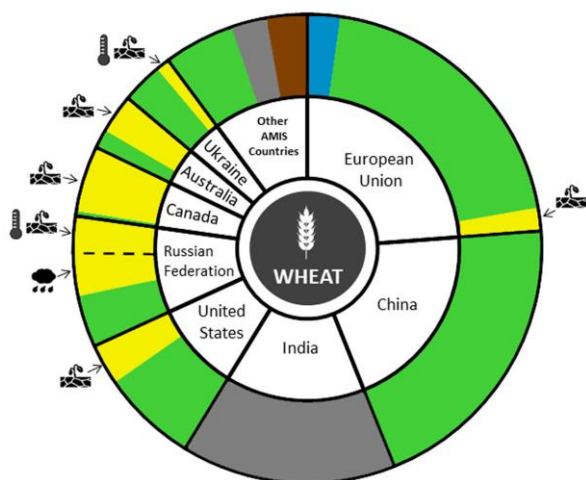
Conditions at a glance

Wheat - In the northern hemisphere, conditions are mixed for both winter and spring wheat. The US, Canada, EU, Ukraine, and the Russian Federation are all experiencing adverse climatic conditions in some areas. In the southern hemisphere, sowing of winter wheat has begun under generally favourable conditions with the exception of dryness in Australia.

Maize - In the southern hemisphere, conditions remain poor in Argentina, where harvest is being hampered by continuous rainfall. Conditions are mixed in Brazil for the summer-planted crop. In the northern hemisphere, sowing is continuing in the US, Canada, EU, Ukraine, Russian Federation, China and Mexico under mostly favourable conditions.

Rice - In China, early-rice and intermediate-rice is under generally favourable conditions. In India, Rabi rice harvest is wrapping up under favourable conditions. In Southeast Asia, crop conditions remain favourable as dry-season rice harvesting is ongoing in the northern countries. In Indonesia, sowing of dry-season rice has been delayed several months due to insufficient rainfall.

Soybean - In the southern hemisphere, harvest of the crop in Argentina is being impacted by continuous rainfall. In the northern hemisphere, sowing is underway under favourable conditions with the only areas of concern in Canada.

Conditions:**Drivers:****Wheat**

In the **EU**, conditions remain mostly favourable with parts of central and eastern Europe affected by a lack of precipitation. In **Ukraine**, winter wheat conditions are generally favourable though recent hot and dry conditions in the south are causing premature ripening in some areas, creating a potential risk to final yields. In the **Russian Federation**, winter wheat is entering the critical development stages under mixed conditions due to recent hot and dry conditions in the south. Spring wheat sowing is ongoing under generally favourable conditions with some delays in the east due to wet weather. In **Kazakhstan**, spring wheat planting has completed under favourable conditions. In **China**, conditions are favourable for both winter and spring wheat. In the **US**, drought conditions still remain in the southern Great Plains (major production region), however the recent rainfall has potentially improved conditions for the winter wheat crop. In **Canada**, low soil moisture conditions in the prairies are affecting both spring and winter wheat. Precipitation in the next few weeks will be critical in this region for uniform germination and crop development, to avoid a significant decline in crop area. Winter wheat conditions in the main producing province of Ontario are favourable. In **Australia**, conditions are favourable in the west while low soil moisture across much of the eastern and southern areas is affecting winter wheat.

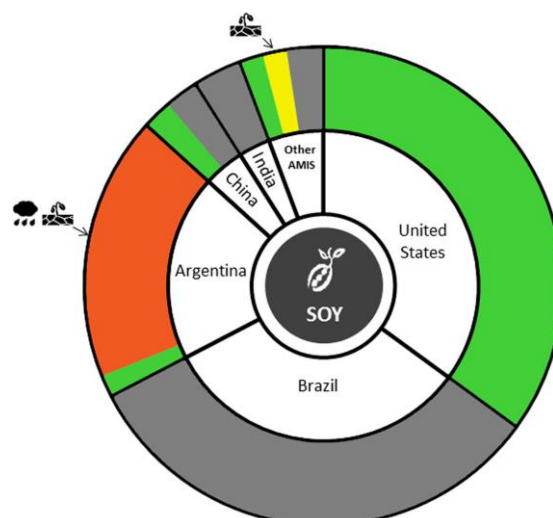
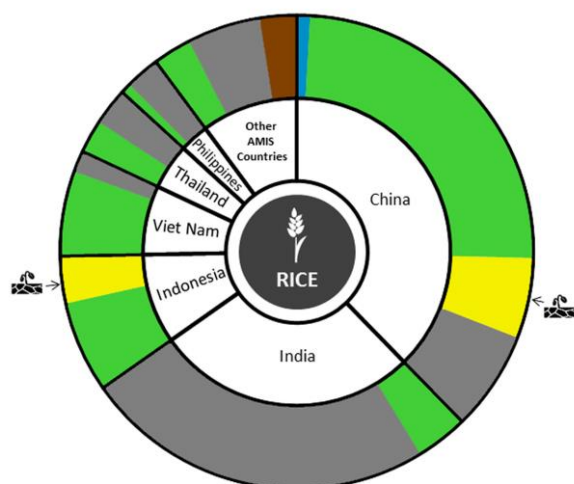
Maize

In **Brazil**, conditions for the summer-planted crop (larger) are mixed as hot and dry conditions have begun affecting the crop, most notably in the southern region. In addition, there is a reduction in total sown area this season. In **Argentina**, conditions remain poor across the country as harvest progresses. Prolonged drought throughout the season has taken its toll on the crops, while continuous rains over the past month hampered harvest and affected grain quality in the Pampa Plain. Yields and total production are expected to be significantly reduced compared to the previous year. In the **US**, sowing is continuing under favourable conditions with only minor delays in the Midwest due to a late spring. Crop emergence has begun in many areas. In **Canada**, sowing is nearing completion, but additional rainfall is needed to support crop development. In **Mexico**, harvest of the autumn-winter planted crop has begun under favourable conditions. Sowing of the spring-summer crop continues under favourable conditions with a slight increase in sown area expected. In **China**, the spring-planted crop is in the early vegetation stage under favourable conditions. In the **EU**, favourable weather is aiding sowing especially in the southern countries.



Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, early-rice and intermediate rice is under favourable conditions with exceptional conditions in the southern and southeastern provinces, but below average conditions in Guizhou and Hunan provinces. In **India**, Rabi rice harvest is wrapping up with production estimated to be above last year's crop. In **Indonesia**, harvest of wet-season rice continues with favourable yields that are in line with last year's crop. Sowing of dry-season rice in the main paddy producing provinces continues to be delayed by several months due to moderate to low precipitation. In **Viet Nam**, winter-spring rice (dry season rice) is under favourable conditions. Harvest is ongoing in the south with early yields estimated to be slightly above last year's. Sowing of summer-autumn rice (wet season rice) is beginning in the south under favourable conditions. In **Thailand**, harvest is approaching completion for dry-season rice with an increase in production forecast owing to the increase in sown area and favourable yields. Wet-season rice sowing is just beginning under favourable conditions with an increase in total sown area expected. In the **Philippines**, dry-season rice conditions are favourable with harvest nearly complete. An increase in production is observed compared to last year. In the **US**, sowing is wrapping up under favourable conditions.

Soybeans

In **Argentina**, conditions remain poor as harvest continues for both the spring-planted crop (larger) and the summer-planted crops. The prolonged drought throughout the season caused widespread damage and significantly reduced production. Further damage has occurred due to the recent continuous rainfall across the Pampa Plain region, causing fungal disease and bean sprouting on the plant. In the **US**, sowing has begun across the country under favourable conditions. In **Canada**, sowing is proceeding, but additional rainfall is needed to support crop growth and development. In **China**, conditions are favourable as sowing and crop emergence is underway in the northern provinces. In **Ukraine**, sowing is ongoing under favourable conditions.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 7 June 2018

Policy development

Wheat

- On 21 May, **Brazil** eased the phytosanitary requirements applicable to imports of Russian wheat (see AMIS Market Monitor no. 55). Higher tolerance levels of weed seeds are applied if the imported wheat is destined to further processing at plants that are registered with the Brazilian National Organization of Phytosanitary Protection (ONPF).
- On 23 May, the Ministry of Finance in **India** increased the wheat import tax from 20 to 30 percent.

Maize

- On 12 May, the Ministry of Agriculture in **Argentina** approved three genetically-modified maize varieties resistant to Lepidoptera and Coleoptera (Resolution No. 19/2018), marking the introduction of insect-resistance technology ("interference RNA") for the first time in the country.

Rice

- In an effort to curb domestic prices, the Ministry of Trade in **Indonesia** authorized the State Logistics Agency (BULOG) to import 500 000 tonnes of rice in 2018 from several countries including Viet Nam, Thailand, Myanmar, Cambodia, India and Pakistan.
- On 24 May, the National Food Authority Council in the **Philippines** issued guidelines (Resolution No. 884-2018-E) for the importation of a minimum access volume (MAV) of 805 200 tonnes of white rice for crop year 2017/18. Subject to a 35 percent tariff, the MAV is allocated to farm (20 percent) as well as non-farm (80 percent) organizations. Imports may be sourced from Thailand and Viet Nam (293 100 tonnes each); China, India and Pakistan (50 000 tonnes each); Australia (15 000 tonnes); and El Salvador (4 000 tonnes). In addition, a 50 000 tonnes allocation may be sourced from any country.
- On 1 May, **Thailand** approved a credit scheme worth THB 1.67 billion (USD 53 million) to encourage the building of barns to store rice during harvest and stabilise prices. Under the scheme, the government will subsidise interest rates of up to 3 percent per year for 5 years.
- On 24 May, the **US** Food and Drug Administration notified the acceptance of Pro-vitamin A Bio-fortified Rice Event GR2E (Golden Rice) to the International Rice Research Institute, following safety evaluations. This follows approval by Health Canada and Food Standards Australia-New Zealand (see Market Monitor No. 57 – April 2018).

Soybeans

- In **China**, the programme encouraging crop rotation from maize to soybeans and covering 2 million hectares will be extended during 2018/19.
- In **Mexico**, the programme "PRO-OLEAGINOSAS" will continue promoting oilseed production in the course of 2018. Producer payments upon delivery to processors will remain unchanged at MXN 700 (USD 35) per tonne. The "PROAGRO" scheme will also be maintained to encourage investment in productive activities, with financial transfers on a per hectare basis increased by 14 and 33 percent for small and medium farms, respectively.

Biofuels

- On 28 May, **Argentina** decided to increase the soybean oil-based biodiesel export tax from 8 percent to 15 percent, effective from 1 July 2018.
- On 16 May, the Union Cabinet of **India** released the National Biofuels Policy 2018, expanding the range of feedstock available for ethanol to sugarcane juice, beet, sorghum, maize and cassava, rotten potato, wheat and broken rice. The policy also allows farmers to divert excess crop produce to biofuels production and establishes a viability gap funding scheme of INR 5 000 crore (USD 74.13 million) in six years, tax incentives, as well as higher purchase prices to set up second-generation ethanol refineries.
- The Department of Energy in the **Philippines** raised the quarterly allocation for ethanol for the third quarter of 2018 by 55.65 percent to 114 633 cubic metres.
- On 1 May, the state of Minnesota in the **US** decided that a biodiesel blending rate of 20 percent would apply during the period April-September (a 5 percent blending rate applies during the winter months). Since May 2012, the rate had been 10 percent.

Across the board

- On 2 May, the State government in Western **Australia** established a fund of AUS 24 million (USD 18.04 million) to promote grain-related research and development.
- On 17 May, **Australia** notified the WTO of a proposal to amend the Australia-New Zealand Food Standards Code, revising the Minimum Residue Levels (MRLs) for certain chemicals in rice, wheat, barley and other cereal grains. Comments are invited until 20 July 2018 (G/SPS/N/AUS/449).



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The AMIS Policy database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

- On 1 May, **China** further reduced the VAT on the sale and importation of agricultural products, including grains, from 11 percent to 10 percent. The VAT had been reduced from 13 percent to 11 percent in 2017. On 18 May, the Ministry of Commerce also dropped anti-dumping and countervailing duty investigations on imports of US sorghum, announcing that any deposits would be returned.
- On 2 May, the **European Commission** proposed a 'Multiannual Financial Framework' for the period of 2021-2027, allocating a budget of EUR 365 billion (USD 423.57 billion) to CAP reform, subject to acceptance by EU member States and the European Parliament. Some EUR 10 billion (USD 11.61 billion) were earmarked to support research and innovation in food, agriculture, rural development and the bio-economy.
- On 18 May, the **European Union** notified the WTO of a list of products of US origin subject to additional import duties of 25 percent including certain maize and rice products.
- On 18 May, under WTO procedures, **India** notified a list of products of US origin that could be subject to additional import duties, including a 5 percent increase of import duties on wheat and soybean oil. Conditional upon further consultations between the parties, the effective date of implementation of India's measure is 21 June 2018.
- On 1 May, an agriculture-wide credit scheme worth THB 90 billion (USD 2.8 billion) and potentially targeting some 3 million farms was introduced in **Thailand** for 12 months. Through the Bank for Agriculture and Agricultural Cooperatives, farmers were granted "Happy Farming" loan cards to purchase fertilisers, pesticides, seeds, fuel and small farm equipment from 17 000 designated stores, at an annual interest rate of 3 percent compared to a commercial rate of 7 percent. The repayment period runs until 30 April 2020. A second loan scheme worth THB 3.6 billion (USD 112.5 million) was also extended to farm cooperatives nationwide.

Logistics/Infrastructure/Trade Junctions

- In response to rising fuel costs, truck drivers in **Brazil** have started a nationwide strike. The duration and intensity of the strike has disrupted agricultural and food production, distribution and exportation networks in virtually all sectors and economic activities. On 27 May, the Federal Government also provisionally introduced a Road Cargo Transportation Minimum Price Policy (No. 832/2018). The new scheme is yet to be approved by the National Congress.
- On 23 May, **Canada** passed the Transportation Modernization Act, which is expected to improve the timeliness and efficiency of grain transportation, particularly when delays are owed to bad weather.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	May 2018 Average*	% Change	
		M/M	Y/Y
GOI	212	-0.7%	+14.5%
Wheat	196	+4.1%	+21.2%
Maize	204	-0.4%	+18.7%
Rice	178	+0.7%	+11.0%
Soybeans	206	-3.6%	+11.9%

*Jan 2000=100, derived from daily export quotations

Wheat

Movements in world wheat export prices were mainly linked to prospects for 2018/19 crops, with uncertainty about the impact of less than ideal weather in some of the major exporters providing sustained underpinning. Gains in the early part of the month were eroded as the weather turned more favourable in a number of countries. However, crop worries persisted and markets continued to react to changeable weather conditions as the month progressed. As concerns mounted about prolonged dryness for crops in North America, Australia and the Black Sea region, values posted relatively strong gains in the latter part of May, propelling the IGC GOI wheat sub-Index to its highest in around 10 months.

Maize

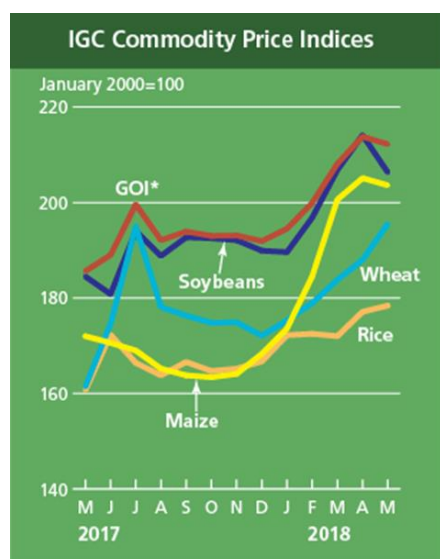
After six consecutive monthly gains, average export prices dipped in May, led by declines in Ukraine. Despite supportive currency movements, prices there retreated from earlier elevated levels on robust international competition and tepid buying interest. Support in the US came from deteriorating production prospects in South America and a robust pace of exports, but gains were countered recently as overseas interest slowed. Mostly good growing conditions for the next crop and fresh talk about US-China trade added pressure. The market in Argentina was particularly firm on a weakening peso and slow country movement, although gains in export prices were pared by slack overseas demand.

Rice

Average white and parboiled rice export prices were mildly firmer m/m, as strong demand from Asia offset weak buying interest from Africa. The Philippines' state purchasing agency, the NFA, secured 500 000 tonnes mostly from Thailand and Viet Nam amid efforts to boost stocks, while anticipated sales to Indonesia added support. Values in Pakistan increased on tight supply while prices in India, the leading exporter, were slightly softer amid currency weakness and slow demand from West Africa. In the US, low availability continued to underpin export quotes at well above year ago levels, while sales to Iraq provided support to South American values despite mild harvesting pressure.

Soybeans

Average global soybean prices retreated during May in two-sided activity, mainly shaped by ongoing uncertainty about the future trade relationship between the US and China. However, more recently, trade relations appeared to have shown some improvement, which weighed on market sentiment in Brazil as demand was seen possibly reverting to the US. A strike by truckers in Brazil interrupted movement of supplies to ports and processors. Price declines were contained by unfavourable crop prospects in Argentina.



*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100))				
2017	May	185.6	161.4	172.0	160.7	184.5
	June	189.0	174.6	170.6	172.3	180.8
	July	199.6	194.9	169.0	166.4	194.0
	August	192.1	178.1	165.2	163.8	188.8
	September	193.9	176.3	163.8	166.6	192.7
	October	193.0	174.8	163.4	164.7	192.5
	November	193.1	174.9	164.1	165.2	192.1
	December	191.9	172.1	168.3	166.7	189.9
	2018 January	194.5	175.3	173.6	172.2	189.6
	February	199.9	178.9	184.5	172.5	196.8
	March	208.1	183.8	200.6	172.0	206.8
	April	213.8	188.0	205.1	177.1	214.1
	May	212.2	195.5	203.6	178.4	206.3

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2016-2018)

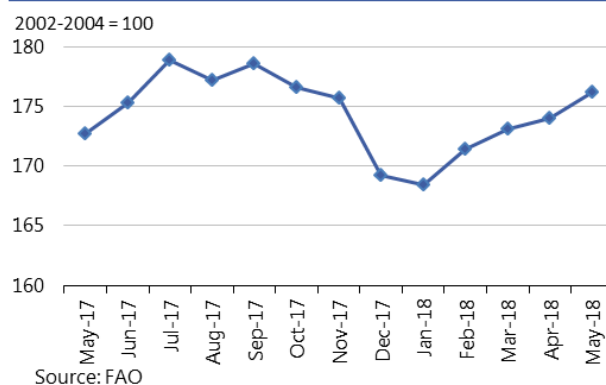
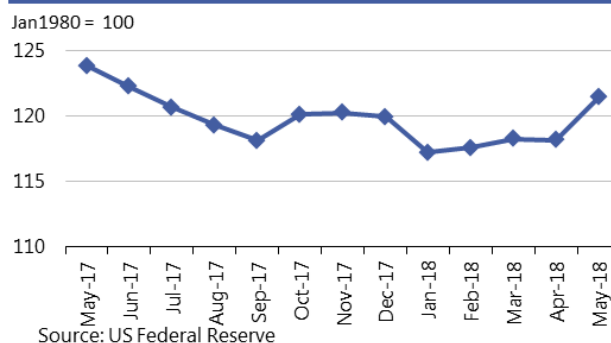


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	31-May	254	253	247	201	0.4%	26.4%
Maize (US No. 2, Yellow)	31-May	177	180	177	159	-1.3%	11.8%
Rice (Thai 100% B)	31-May	440	444	436	431	-0.9%	2.1%
Soybeans (US No.2, Yellow)	31-May	398	404	414	353	-1.5%	12.7%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	May 2018 Average	Monthly Change	Annual Change
Argentina	ARS	23.6	-16.5%	-50.0%
Australia	AUD	1.3	-2.0%	1.2%
Brazil	BRL	3.6	-6.5%	-13.3%
Canada	CAD	1.3	-1.1%	5.4%
China	CNY	6.4	-1.2%	7.4%
Egypt	EGP	17.8	-0.7%	1.6%
EU	EUR	0.8	-3.9%	6.4%
India	INR	67.5	-2.8%	-4.8%
Indonesia	IDR	14,032.3	-1.6%	-5.3%
Japan	JPY	109.7	-1.9%	2.3%
Kazakhstan	KZT	328.6	-0.9%	-4.7%
Rep. Korea	KRW	1,076.3	-0.8%	4.3%
Mexico	MXN	19.5	-6.3%	-4.2%
Nigeria	NGN	306.5	-0.5%	0.4%
Philippines	PHP	52.2	-0.4%	-4.8%
Russian Fed.	RUB	62.3	-2.3%	-9.2%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	12.5	-3.6%	5.5%
Thailand	THB	32.0	-2.1%	7.2%
Turkey	TRY	4.4	-8.8%	-24.0%
UK	GBP	0.7	-4.5%	4.0%
Ukraine	UAH	26.2	-0.2%	0.9%
Viet Nam	VND	22,779.1	0.0%	-0.4%

FAO Food Price Index
May 2017-May 2018Nominal Broad Dollar Index
May 2017-May 2018

Futures markets

Futures Prices – nearby

	May-18 Average	% Change	
		M/M	Y/Y
Wheat	190	+8.9%	+20.2%
Maize	157	+3.3%	+8.6%
Rice	278	-4.6%	+17.8%
Soybeans	375	-1.7%	+7.0%

Source: CME

Futures Prices

Prices for wheat and maize rose 8.9 and 3.3 percent respectively m/m while soybean and rice prices fell 1.7 and 4.6 percent respectively. Dry weather affecting several major wheat growing regions including North America, Black Sea, Europe and Australia lifted wheat values to multi month highs. Maize values were buoyed by an unusually cold start to US planting season and a surge in crude oil prices to three year highs, which in turn supported larger maize based ethanol exports. Conversely, soybean prices were pressured by a sudden halt in late April to Chinese purchases of US soybeans. A truckers' strike in Brazil in late May, which reduced the country's soybean export availabilities, reversed the price slide, producing a small month-end rally in US futures prices. Rice, despite firm global prices, fell sharply at month-end in thin trade and expectation of a US production recovery, even though most of the price decline occurred in the old crop month of July. In exogenous markets, the USD regained some strength against other currencies, notably the euro, but did not depress commodity prices as would normally be the case: the Commodity Research Bureau (CRB) index, the oldest tracking index of commodity prices, reached its highest level in a year. Despite conflicting market signals, wheat, maize, soybeans and rice posted higher prices y/y respectively by 20.2, 8.6, 7 and 17.8 percent.

Volumes and volatility

Trade volumes for wheat, maize and soybeans fell by double digit percentages despite the flux of market variables and general level of trade uncertainty. Volatility levels displayed mixed signals with wheat, maize and soybeans registering higher historical volatility m/m while only wheat exhibited higher implied volatility m/m. On a y/y basis, wheat and soybeans were higher for both historical and implied volatility but maize was lower.

Basis levels and transport

Domestic basis levels for maize and soybeans were mostly unchanged m/m as producers completed the majority of maize and soybean planting. In Illinois, the interior bids to local elevators were quoted minus USD 11 per tonne for maize and minus USD 13 for soybeans, both under the respective July futures prices. In Iowa, the bids were minus USD 16 for maize and minus USD 26 for soybeans (under the respective July futures). Gulf export delivery basis levels for maize fell from last month's levels and were quoted at USD 21 to USD 22, while soybeans leveled out at around

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	May-18	Apr-18	May-17
Wheat	33.2	30.1	26.4
Maize	16.7	17.6	20.4
Rice	16.6	15.4	25.4
Soybeans	17.3	17.5	12.6

USD 21, following last month's period of uncertainty with respect to China. Soft red wheat, its harvest commencing in the southern growing regions, continued to see firm cash values delivered to the northern mills (quoted above the July futures price) but saw basis levels decline m/m delivered to gulf at around USD 21 per tonne over the July futures. Barge freight eased m/m from USD 33 to USD 24.5 per tonne as high water levels receded. In the export market, although cumulative shipments continued to lag for all three commodities - standing at 87 percent of last year's levels- maize and soybean export commitments (unshipped balances) were impressively ahead of last year's levels by 38 and 58 percent respectively. Conversely, wheat appeared to be in a secular downtrend trailing at 36 percent below last year's commitments.

Forward curves

Forward curves for wheat and maize continued in the same carrying charge (contango) pattern m/m. Soybean curves, notably the July 2018/November 2018 spread eroded from a flat configuration to a USD 4.5 carry market by end month.

Investment flows

Managed money maintained moderate long positions in maize and soybeans m/m. It reversed its customary bearish stance in wheat by establishing a modest long. Open interest has increased to record levels for maize and soybeans over the past 2 months with commercial participation increasing the most in terms of absolute numbers of contracts. Options levels have also increased particularly in maize, comprising about 25 percent of combined options and futures open interest.

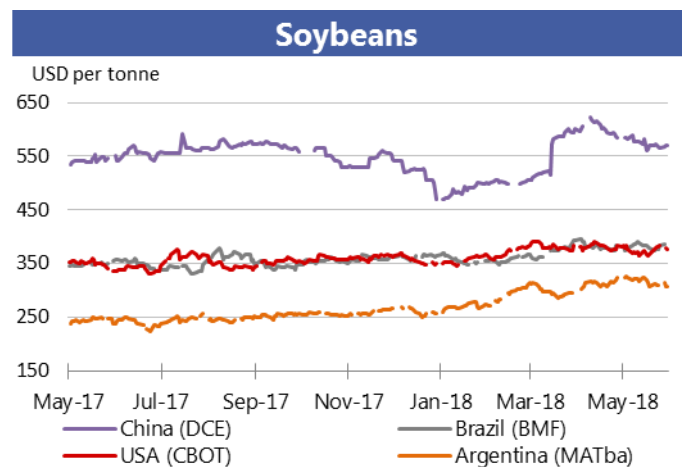
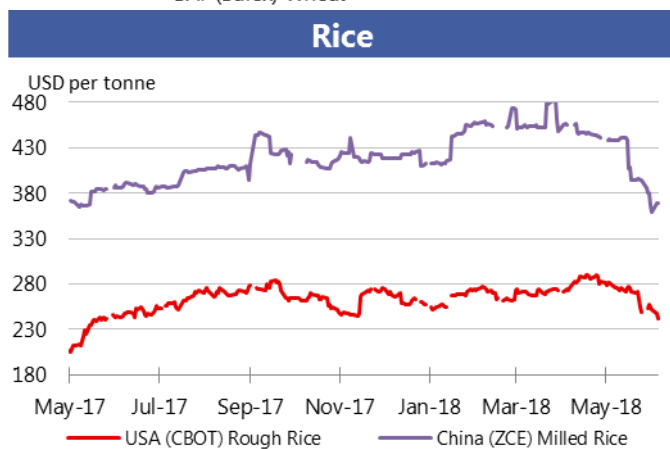
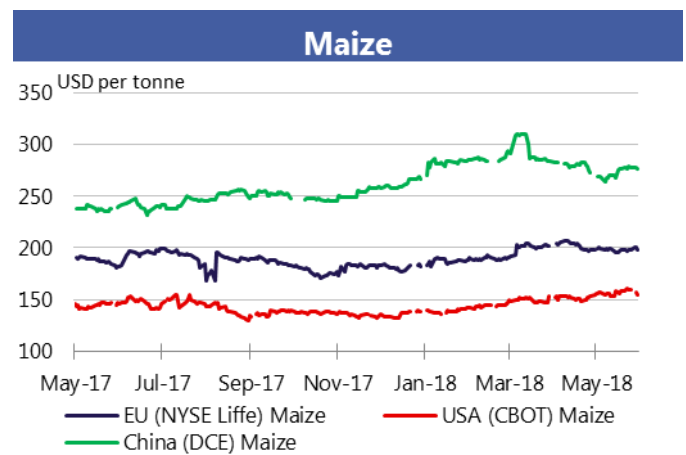
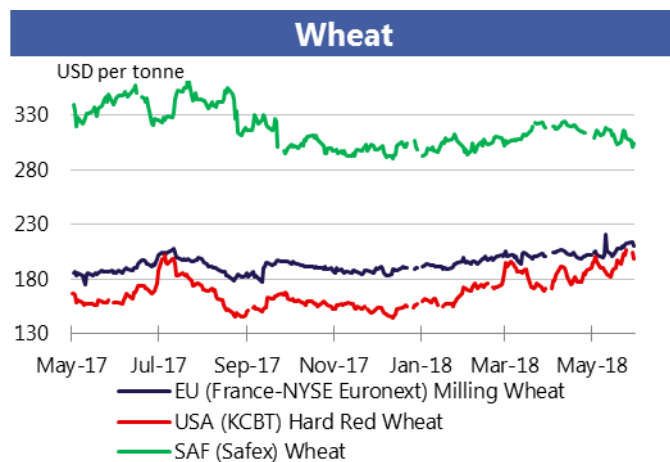


For information on technical terms please view the Glossary at the following link:

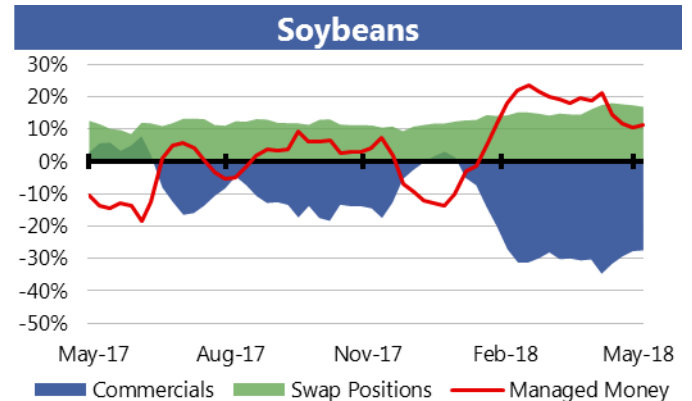
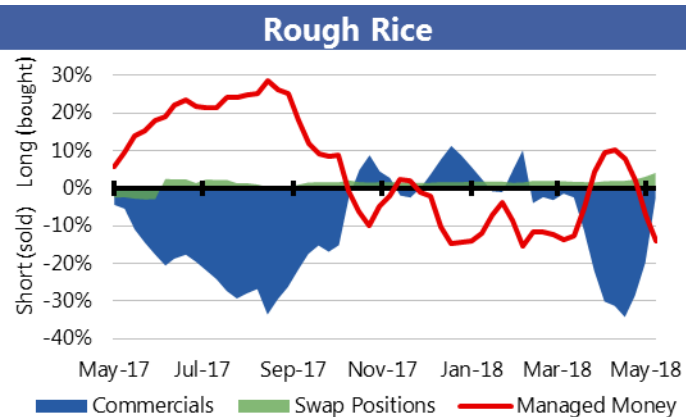
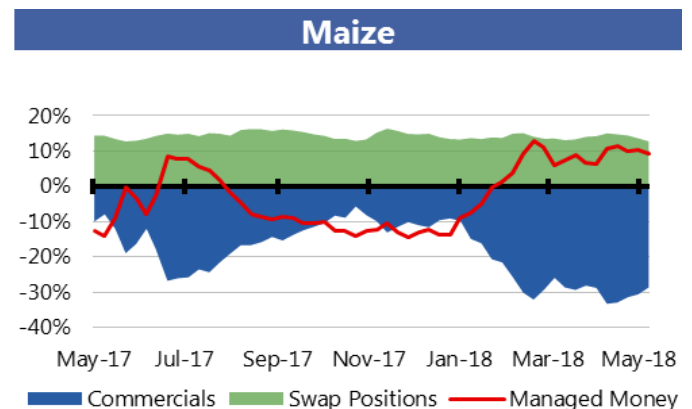
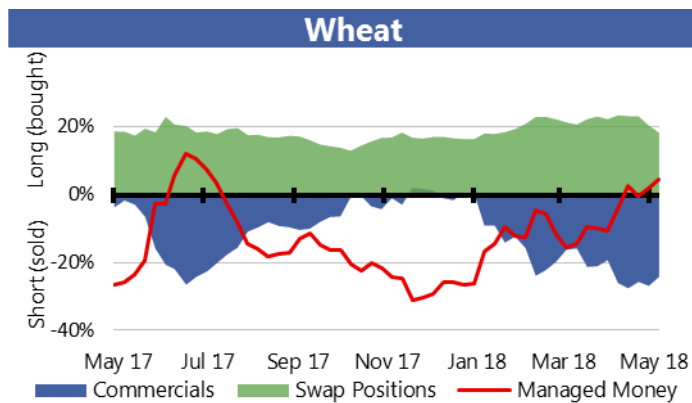
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

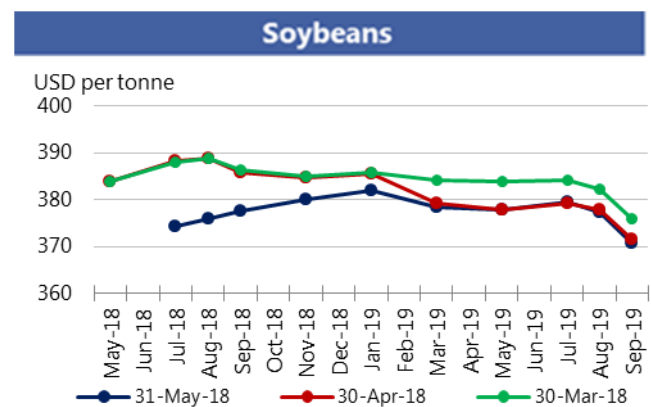
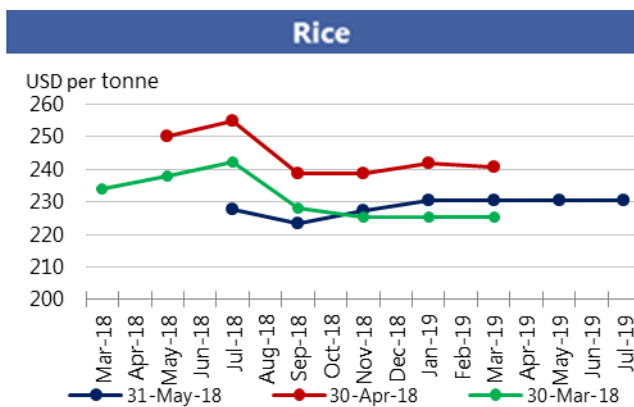
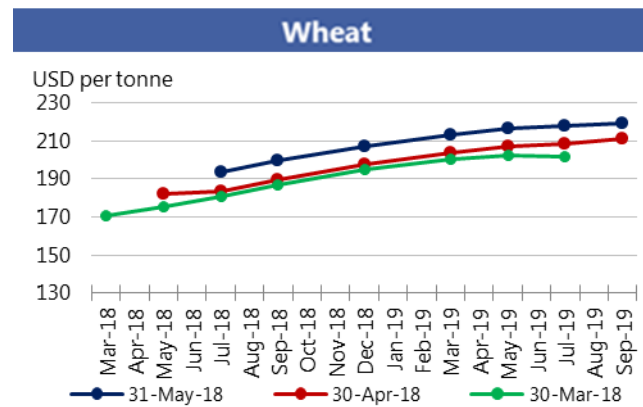
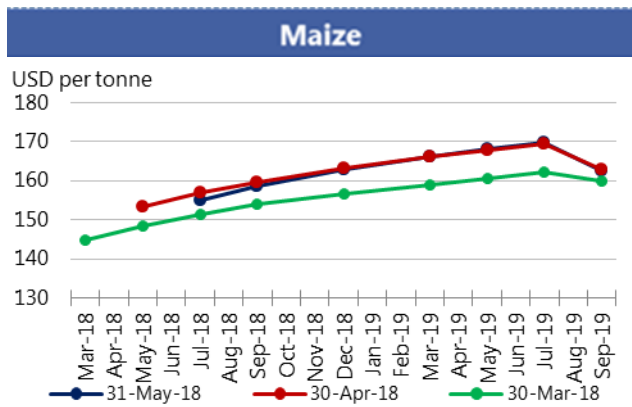


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

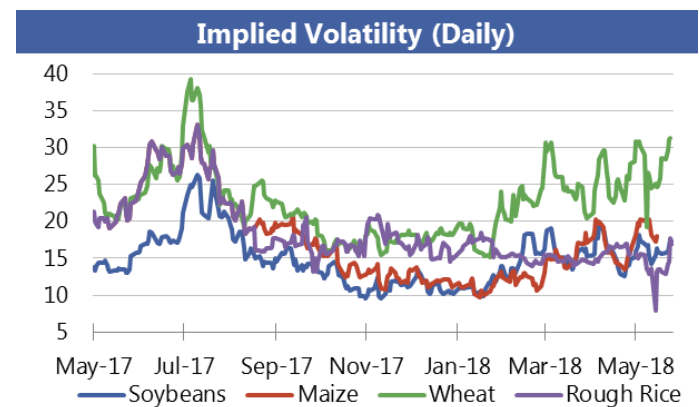
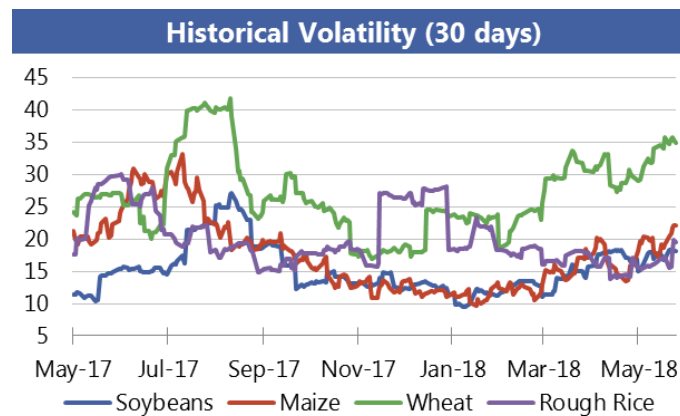


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Monthly US ethanol update

- **US maize prices** increased in May underpinned by strong export demand.
- **DDGs prices** remained strong relative to maize, supported by firm domestic soybean meal prices.
- **Ethanol prices** were nearly flat in the futures market and down in the cash market despite increasing oil prices which resulted in ethanol to gasoline futures price ratio of 67 percent, near energy equivalence.
- Falling cash **ethanol prices** and rising maize costs more than offset increasing DDGs prices, trimming producer production margins.
- **Ethanol production** rose in May and on an annualized basis moved above 16 billion gallons a year.
- The certificates of compliance with the US Renewable Fuel Standard known as RINs hit USD 0.22 cents at the end of May, the lowest since November of 2013 on news of significant numbers of small refinery waivers being granted by EPA, reducing the blending requirements.

Spot prices IA, NE and IL/eastern corn belt average	May 2018*	Apr 2018	May 2017
Maize price (USD per tonne)	148.38	142.87	135.96
DDGs (USD per tonne)	172.36	163.59	98.37
Ethanol price (USD per gallon)	1.39	1.42	1.42

Nearby futures prices CME, NYSE	May 2018*	Apr 2018	May 2017
Ethanol (USD per gallon)	1.48	1.47	1.48
RBOB Gasoline (USD per gallon)	2.19	2.06	1.56
Ethanol/RBOB price ratio	67.4%	71.6%	94.4%

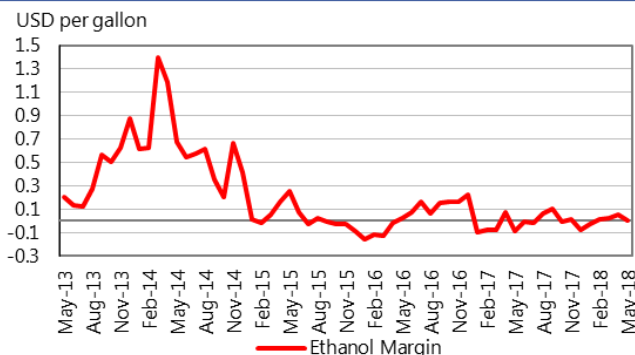
Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)	May 2018*	Apr 2018	May 2017
Ethanol receipts	1.39	1.42	1.42
DDGs receipts	0.53	0.51	0.30
Maize costs	1.37	1.32	1.26
Other costs	0.55	0.55	0.55
Production margin	0.01	0.05	-0.09

Ethanol production (million gallons)	May 2018*	Apr 2018	May 2017
Monthly production total	1 367	1 291	1 331
Annualized production pace	16 095	15 708	15 676

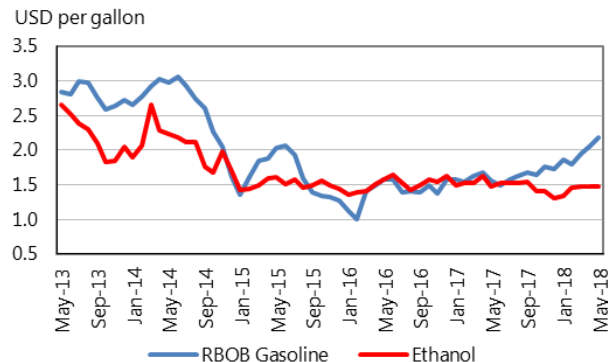
Based on USDA data and private sources

* Estimated using available weekly data to date.

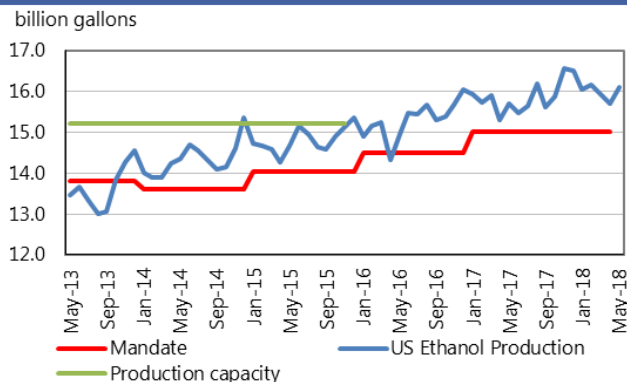
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

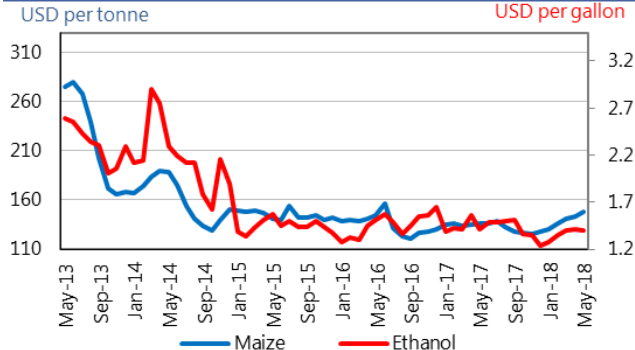


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

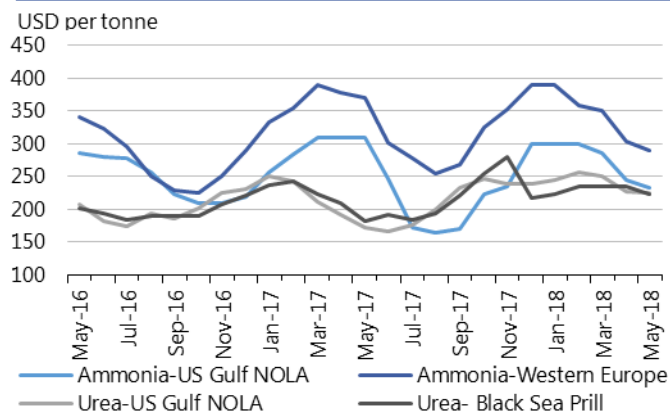
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

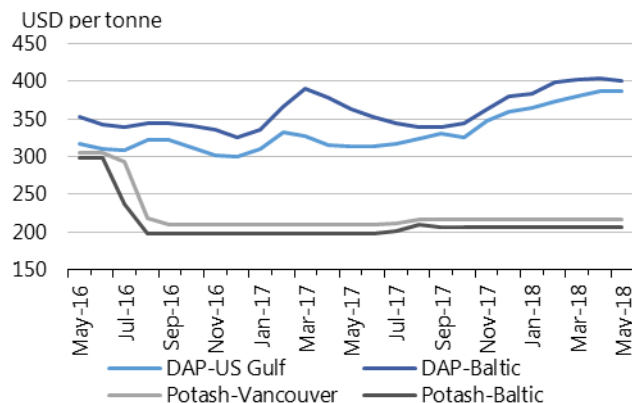
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

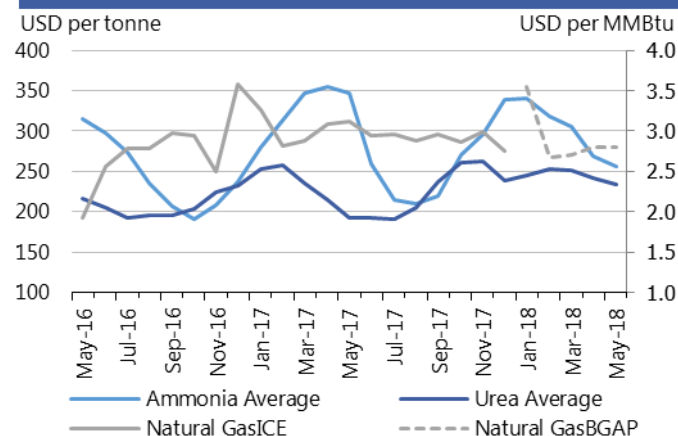
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



*Natural Gas is a new Henry Hub Index, replacing the one used before since it has been discontinued.

- **Ammonia prices** fell m/m. A delayed start to the application season in the northern hemisphere has resulted in low demand. Although a slowdown in global production threatened to tighten the market, this was not sufficient to counterbalance the decrease in demand.
- Excess production from the Russian Federation and North Africa continued to push **urea prices** down. In addition, weak demand from Europe and North Africa has forced producers to redirect their sales toward India at a lower price.
- A slight decrease in **DAP prices** m/m stemmed from a notable increase in production in North Africa and the Middle East, combined with stronger demand from India and Pakistan.
- Despite the start of the application season in the northern hemisphere, **potash prices** remain unchanged m/m.
- **Natural gas prices** remained steady.

	May average	May std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	232.0	-	-5.5%	-25.2%	300.0	165.0
Ammonia-Western Europe	289.0	6.9	-4.9%	-21.9%	390.0	254.0
Urea-US Gulf	224.0	18.5	-1.4%	31.0%	256.3	166.8
Urea-Black Sea	223.3	2.9	-4.5%	23.2%	280.0	183.8
DAP-US Gulf	386.7	2.9	-0.3%	23.2%	387.8	313.0
DAP-Baltic	400.0	-	-0.9%	10.3%	404.0	339.0
Potash-Baltic	206.0	-	0.0%	4.0%	209.0	198.0
Potash-Vancouver	216.0	-	0.0%	3.3%	216.0	209.0
Ammonia	256.3	3.5	-4.6%	-26.3%	341.3	210.0
Urea	234.1	4.7	-3.4%	22.0%	263.3	192.0
Natural Gas*	2.8	0.1	0.0%	-8.0%	3.5	2.7

All prices shown are in US dollars.

*Natural Gas is a new Henry Hub Index (BGAP), replacing the one used before, which has been discontinued.

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices. **Natural Gas:** Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Monthly ocean freight market update

Dry bulk freight market developments

	May 2018 Average*	M/M	% Change	Y/Y
Baltic Dry Index (BDI) *	1 317	+16.7%		+ 35.3%
<i>sub-Indices:</i>				
Capesize	2 153	+ 51.0%		+ 33.3%
Panamax	1 238	- 6.3%		+ 30.8%
Supramax	1 059	+ 2.8%		+ 37.1%
Baltic Handysize Index (BHSI)**	589	- 6.1%		+ 17.2%

Source: Baltic Exchange.

Note: *4 January 1985 = 1000 **23 May 2006 = 1000. Baltic Handysize sub-Index excluded from the BDI from 1 March 2018

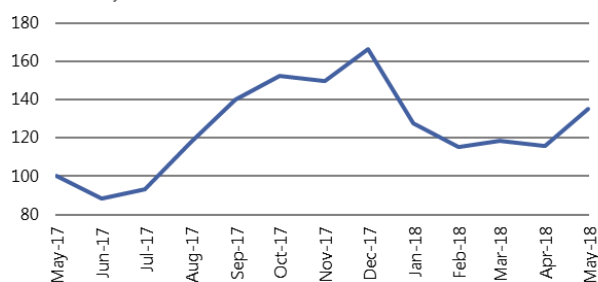
- After a dip in the previous month, average **Baltic Dry Index (BDI)** values were firmer in May, advancing by 17 percent m/m, largely on Capesize gains in the first half of the period. Average BDI quotations were up by about one-third y/y, including solid gains in all constituent segments. However, the grains and oilseeds carrying sectors lacked clear direction, as average rates were mixed m/m.
- The **Capesize** Baltic sub-Index was up by one-half compared to April. Robust growth in early May was driven by brisk trading in the Pacific, where better rates were recorded on the Australia-China route. Demand for coal and nickel ore shipments to China was also evident, but reduced enquiries at the key iron ore origins, coupled with limited period interest,

weighed more recently.

- Average **Panamax** quotations declined by 6 percent amid pressure from excess tonnage at the US Gulf and in South America, albeit offsetting support stemmed from good mineral demand in Australia and Southeast Asia. Generally firm sentiment was also noted in the North Pacific, including for dispatches to China and Japan.
- Similarly, **Supramax** and Handysize rates were buoyed by a stronger Pacific market. However, upside was trimmed by mostly sluggish Atlantic trade, as well as a slowdown in grains shipments out of the Black Sea area and a softer tone in Europe, including for deliveries to North Africa.

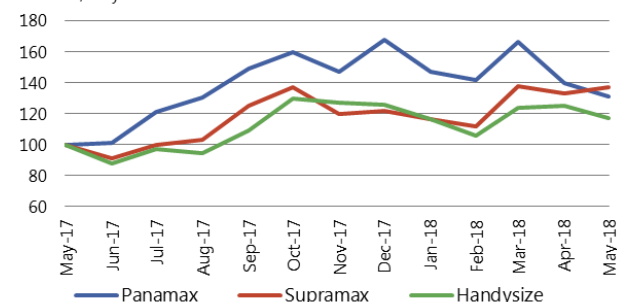
Baltic Dry Index*

Rebased, May 2017 = 100

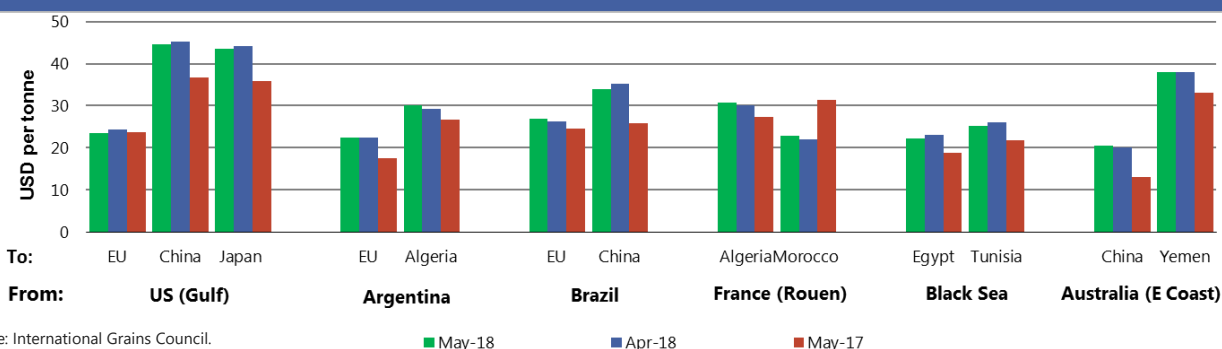


Grains and oilseeds carrying sectors: Panamax and Supramax sub-Indices and Handysize Index*

Rebased, May 2017 = 100



Average nominal freight rates on selected grains and oilseeds routes



Source: International Grains Council.



Notes:

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargos, including grains and oilseeds.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **“World Supply and Demand”** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **“FAO-AMIS”**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

2018 AMIS Market Monitor Release Dates

February 1, March 1, April 5, May 3, June 7, July 5, September 6, October 4, November 1, December 6

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